March 2009 GFC lows, when prices were cut in half and selling was indiscriminate. The points where groupthink takes over the crowd, where emotions run rampant, and greed and fear can overwhelm investors—that's investors indulging their human half. The Nobel Prize committee recognized this in 2013 when they awarded the Sveriges Riksbank Prize in Economic Sciences to both Eugene Fama and Robert Shiller.[343]

In 2020, day traders were buying bankrupt companies because their prices were rising; they sold quality holdings at very low prices because others had done so. What could be more human than FOMO—the fear of missing out on gains? Perhaps only loss aversion, our very real fear when real money disappears into an ugly sell-off. Irrational investors create opportunities for those who recognize this as it happens in real time.

Markets are efficient

The volume of information is so enormous that it can never be fully grasped by one person. Yet prices reflect all of what is publicly known, manifesting when people act on their collective knowledge. This allows markets to effectively communicate all of the known information and data expressed by these information holders through their buying and selling of equities.

Price, in other words, is the most efficient collective probability bet about the future. Very rational, indeed.

Markets are inefficient

They are efficient, yes, except when those efficient expressions turn out to be wildly wrong. Note that this is not when a trade turns out to be a loser, but part of a good probabilistic analysis when the analytical framework underlying the trade turns out to be completely unfounded.

This is when our emotional half makes the rational half go off the rails. Rather than describing markets as efficient, it is more accurate to describe markets as somewhat efficient, much of the time, getting there eventually,